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What's News

Business & Finance

- ◆ **Some investors fret** that the U.S. stock market's rally this year is living on borrowed time, pointing to signs of overheating that could herald a pullback. **A1**
- ◆ **Tuesday's session saw** major indexes advance, with the S&P 500, Nasdaq and Dow gaining 0.4%, 0.3% and 0.2%, respectively. **B11**
- ◆ **U.S. home prices** continued to rise at a slower pace in July in a another sign of summer weakness in the housing market. **A2**
- ◆ **Berkshire Hathaway** is in talks to buy Occidental Petroleum's petrochemical business for around \$10 billion in a deal that would be Berkshire's largest since 2022. **B1**
- ◆ **Exxon Mobil** said it would cut 2,000 jobs worldwide as the oil industry adapts to anemic petroleum prices and becomes more efficient at extracting fossil fuels. **B1**
- ◆ **The Securities and Exchange Commission** cleared TXSE to operate as an exchange, paving the way for the venue to begin listing shares next year. **B1**
- ◆ **Spotify Chief Executive** Daniel Ek plans to step away from the job nearly two decades after he founded the company and will be succeeded by new co-CEOs. **B4**
- ◆ **CoreWeave** signed a contract valued at up to \$14.2 billion with Meta Platforms to provide the social-media company with artificial-intelligence cloud infrastructure. **B4**
- ◆ **Danish jeweler Pandora** named its chief of marketing, former LVMH executive Berta de Pablos-Barbier, as its new chief executive officer. **B4**

World-Wide

- ◆ **The federal government** shut down after the White House and lawmakers failed to reach a spending deal. Some services are expected to be halted and hundreds of thousands of federal workers will be on furlough. **A1, A4-5**
- ◆ **Trump hailed the use** of military force to police American cities, telling generals and admirals assembled in Quantico, Va., that it was important to quell "the enemy within." **A1**
- ◆ **Trump unveiled plans** to launch a government-run website for consumers to buy drugs directly from manufacturers and said Pfizer plans to offer some of its drugs on the site at a reduced rate. **A1**
- ◆ **A judge said top U.S. officials** violated free-speech rights in connection with the administration's efforts to arrest foreign students who participated in pro-Palestinian protests. **A3**
- ◆ **A 6.9-magnitude quake** struck a central Philippine province, killing at least 31 and injuring many others. **A7**
- ◆ **A second victim** of the shooting at an Immigration and Customs Enforcement field office in Dallas died after being taken off life support. **A5**
- ◆ **The superintendent** of Iowa's largest school district resigned following his arrest last week by ICE agents. **A3**
- ◆ **A Ukrainian diver** wanted on suspicion of participating in the sabotage of the Nord Stream natural-gas pipeline system was detained in Poland. **A6**
- ◆ **China's Communist Party** removed the head of its foreign-relations arm and installed a successor. **A7**

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ALEX WONG/GETTY IMAGES

Hundreds of senior military leaders from around the world gathered Tuesday at the Marine Corps base in Quantico, Va., where President Trump and Defense Secretary Pete Hegseth spoke. The president told them 'we're going into Chicago very soon.'

President Tells Military Brass To Fight 'Enemy Within' U.S.

By MICHAEL R. GORDON AND SHELBY HOLLIDAY

President Trump hailed the use of military force to police U.S. cities, telling generals and admirals during a Tuesday address that it was important to quell "the enemy within."

"San Francisco, Chicago, New York, Los Angeles, they're very unsafe places and we're gonna straighten them out one by one," Trump told

hundreds of senior U.S. military officers packed into a hall at the Marine Corps base in Quantico, Va.

"This is going to be a major part for some of the people in this room. That's a war too. It's a war from within," Trump said at the gathering, which was without recent precedent.

Trump's speech, which lasted well over an hour, followed an address by Defense Secretary Pete Hegseth, who

last week summoned generals and admirals from around the world to the meeting.

Much of Hegseth's talk centered on his longstanding contention that U.S. military standards were relaxed during previous administrations in which diversity and inclusion were an important part of the Defense Department's personnel policies.

"When it comes to any job that requires physical power

to perform in combat, those physical standards must be high and gender-neutral," said Hegseth. "If that means no women qualify for some combat jobs, so be it."

Hegseth, who has rebranded himself with Trump's backing as a secretary of war, received a polite but muted response from the military officers, who have long prided themselves on being apolitical

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Federal Shutdown Begins As Talks Fall Apart

Last-minute funding plans fail in Senate; Trump expected to seek big job cuts

By NATALIE ANDREWS AND LINDSAY ELLIS

WASHINGTON—Government funding lapsed early Wednesday morning after the White House and lawmakers failed to reach a spending deal, triggering a shutdown that is expected to halt some federal services and put hundreds of thousands of federal workers on furlough.

The shutdown could be more consequential than those that have happened in the past. Trump administration officials have said they plan to use the shutdown to reduce the size of the government, moving to cut jobs across agencies. That effort is already being challenged in court.

The funding lapse will have far-reaching ramifications. For the duration of the shutdown, the Labor Department is expected to pause the release of economic data—likely including a highly anticipated jobs report that was set to be made public on Friday. The Centers for Disease Control and Prevention will stop analyzing surveillance data for reportable diseases. Many

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- ◆ **Furloughs, loan delays, data gaps loom**..... A4
- ◆ **Healthcare subsidies are at the center of fight**..... A4

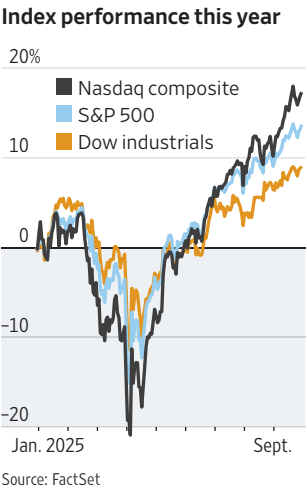
Nervous Investors Fret Stocks Are Too Hot

By KRYSTAL HUR

Investors have a lot to feel happy about these days. That has some on Wall Street worried the 2025 rally could be on borrowed time.

The Dow Jones Industrial Average inched 0.2% higher Tuesday to close at a fresh record, leaving the index with a 5.2% gain in its best quarterly run in a year. Interest rates are coming down. Earnings growth remains robust. Tax cuts are poised to bolster corporate coffers. And analysts are racing to raise their year-end targets for the S&P 500.

But the gains have gone so far that some investors are beginning to worry it is too



much of a good thing. October is traditionally a tough month for stocks, and many investors see signs of overheating—

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◆ **Drug stocks drive up benchmarks**..... B11

The Swifties Lose Another Super Bowl

* * *

Clues had fans convinced this was the year

By ELIAS LEIGHT

The announcement that Bad Bunny would be performing at halftime of Super Bowl LX hit Ian Lockwood's group chat like a bombshell on Sunday.

The 15-member group is devoted to Taylor Swift, whose fans have been speculating since August that the star would finally perform at the game.

"The group chat is of course devastated—we were really inhabiting our delusions that it would be her," said Lockwood, 32, who is based in New York. "But we're used to working ourselves up."

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Why GM Backtracked On EV Promises

Poor sales and shrinking government support undermined all-electric plans

By SHARON TERLEP

Not long ago, Chief Executive Mary Barra declared that General Motors was a decade away from quitting gas-powered cars, setting the course for a new mission, one that would safeguard the planet for generations.

"We have an opportunity and frankly a responsibility to create a better future," Barra said in a 2022 speech. She promised to launch 30 electric-vehicle models globally within a few years and, soon after, convert more than half of GM's North American plants to EV production.

Her ambitious quest to command new markets and

Trump Unveils Deal With Pfizer, New Website for Cheaper Drugs

WASHINGTON—President Trump unveiled plans Tuesday to launch a government-run website for consumers to buy drugs directly from manufacturers, and he said Pfizer plans to offer some of its drugs on the site at a reduced rate.

By Natalie Andrews, Liz Essley Whyte and Peter Loftus

Separately, Trump said Pfizer would offer all of its drugs to Medicaid at a reduced, "most favored nation" price, as well as introduce any new drugs to the U.S. market at the reduced prices. In return, the company gains a three-year grace period to exempt it from national-security-related tariffs, as long as the company invests in do-

mestic manufacturing, the company said.

"The American consumers have been subsidizing research-and-development costs for the entire planet," Trump said in the Oval Office, flanked by top health officials and Pfizer Chief Executive Albert Bourla.

Shares of big drugmakers shot higher Tuesday, with Pfizer's stock rising 6.8%.

The developments deliver on a priority Trump has emphasized since his first term: lowering drug prices. The moves followed Trump's call in a July letter for pharmaceutical companies to participate in a direct-to-consumer drug-buying platform, and to offer "most favored nation" pricing—commonly understood as prices lower or com-

parable to those in other developed nations.

The new website, dubbed TrumpRx, would allow people to pay cash for certain drugs at a discounted price negotiated by the government. Senior administration officials said the site is still being worked on and that they hope to launch it in early 2026. Trump said the site would be operated by the government. Pfizer, in a written statement, referred to the website as TrumpRx.gov.

It is unclear how many drugs in total would be offered, but the White House said some drugs included would be: Eucrisa, a dermatitis treatment; Xeljanz, a pill for rheumatoid arthritis; and Zavzpret, a treatment for migraines. The com-

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